

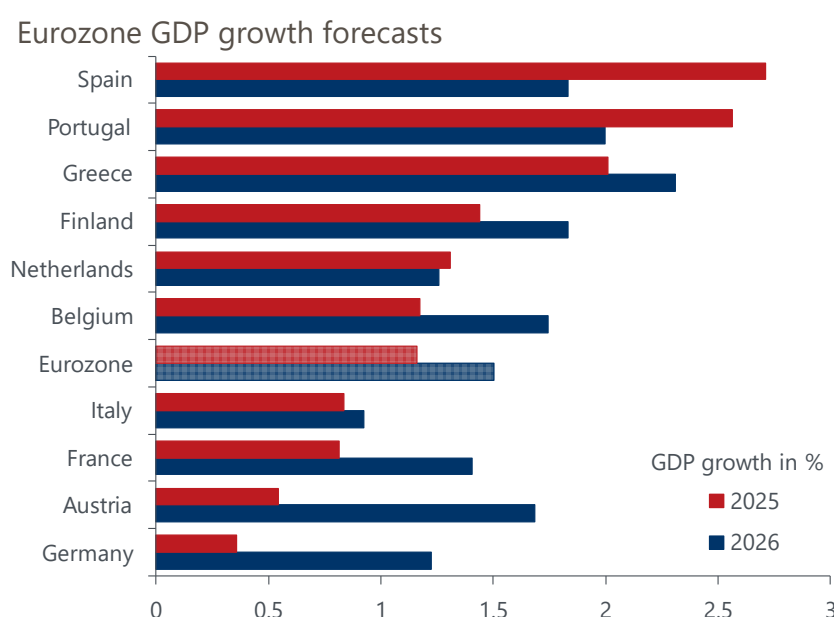
Research Briefing | Eurozone

Spain and Portugal will continue to shine this year

- We expect the Spanish and Portuguese economies will continue to be clear outperformers within a struggling eurozone this year. Spain and Portugal have also reduced their long-standing, macro-financial vulnerabilities. An improved demographic outlook also means we are more optimistic about Spain and Portugal's long-term growth than other peripheral economies.
- Spain was the world's fastest-growing major economy last year. Portugal endured a soft patch in mid-2024 but ended last year on a strong footing. Growth is being driven by some common factors, such as the services-oriented nature of both economies, booming tourism sectors, and strong net migration flows. But there are also key differences in terms of growth drivers.
- Favourable cyclical expansions were accompanied by major structural developments. The large current account deficits that were typical in the 2000s have turned into surpluses, contributing to a sharp reduction in the external debt. Meanwhile, private debt has also been falling steadily. Portugal's fiscal performance also stands out as one of the best within the eurozone.
- Recent developments also underpinned upgrades to our long-term forecasts for both countries. We now expect Spain and Portugal will grow at a similar pace as the eurozone over the next decade, whereas previously we thought they would be among the worst performers, along with other Southern European economies such as Greece and Italy.
- But we still forecast little further convergence towards eurozone per capita income levels for Spain and Portugal. The prevalence of low value-added jobs keeping productivity low and protracted weak investment will be key factors holding back their long-term outlook.

Spain became the world's fastest-growing major economy last year. GDP rose 3.2% in 2024, easily outperforming other major eurozone economies for a second consecutive year. The Portuguese economy has also fared well in recent years and ended 2024 on a strong footing after slowing earlier in the year.

Chart 1: We think Spain and Portugal will continue to outperform most European countries



Source: Oxford Economics/Haver Analytics

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Similar, yet different

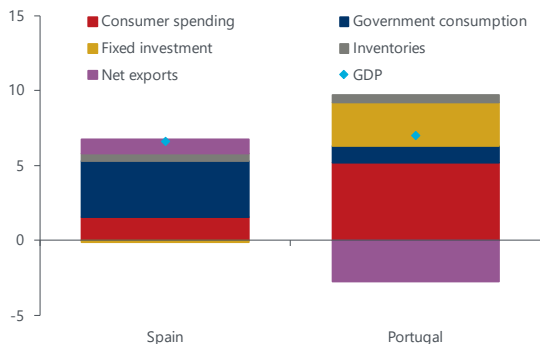
Spain and Portugal's similar growth performance in recent years has been driven by some common factors. Both economies are services-oriented and thus less exposed to the ongoing weakness in manufacturing elsewhere in the eurozone. In addition, both countries have large tourism sectors, and were important beneficiaries of the post-pandemic rebound in international travel. Net migration flows have also surged, driving solid population growth. Finally, the common Iberian energy market, with its large share of renewables and small reliance on Russian gas, mitigated the spike in energy costs. The so-called [Iberian exception](#) also helped during the peak of the energy crisis.

But there are also key differences in terms of growth drivers. Consumer spending and investment were largely behind Portugal's GDP growth since 2019. Meanwhile, the Spanish economy has relied more on government consumption and net exports ([Chart 2](#)).

Chart 2: Similar growth, but with key differences

GDP growth and contributions

Q3 2024 vs Q4 2019, % and ppts



Source: Oxford Economics/Haver Analytics

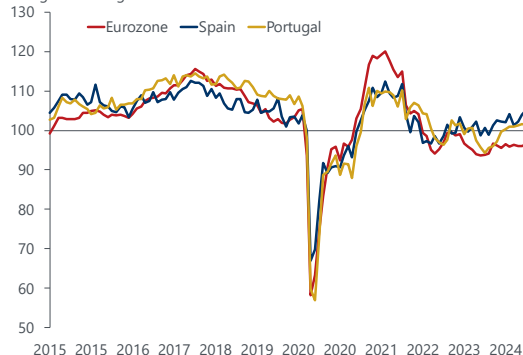
The cyclical rebound has legs

We anticipate 2025 will be another strong year for the Spanish and Portuguese economies, solidifying Iberia's position as a clear outperformer within a struggling eurozone economy. The Spanish PMIs jumped to a near two-year high in December, signalling strong momentum heading into 2025. Spain's economic sentiment indicator is also well above the eurozone average, while Portugal's reading was at a 35-month high in January ([Chart 3](#)).

Chart 3: Surveys confirm Iberia's outperformance

Eurozone and Iberia: economic sentiment indicator

Long-run average=100



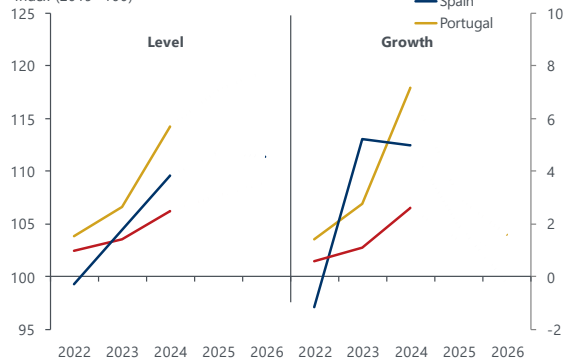
Source: Oxford Economics/Haver Analytics

A strong rise in incomes and the expected pick up in the execution of the EU's Recovery and Resilience Facility further reinforce our optimism about 2025 and beyond. We estimate Spanish household disposable income rose by 5% in 2024 in real terms for a second consecutive year. Income growth was even stronger at 7% in Portugal last year ([Chart 4](#)) amid solid employment and robust wage growth. We anticipate disposable income growth will moderate but remain solid. Moreover, a large pool of savings, improving sentiment, and falling interest rates will all support the consumer outlook in both sides of the Iberian Peninsula.

Chart 4: Solid real disposable income growth supports Spain and Portugal's consumer outlook

Eurozone: Real personal disposable income

Index (2019=100)



Source: Oxford Economics/Haver Analytics

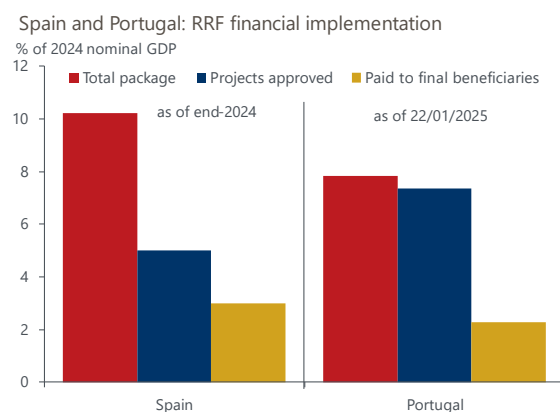
Meanwhile, Spain and Portugal are also among the largest beneficiaries of the EU's Recovery and Resilience Facility (RRF), which is now entering a 'make-or-break' moment after a slow start. The official deadline remains that all funds must be

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spent by the end of next year, injecting a renewed sense of urgency into the programme. However, we think an extension remains a distinct possibility should persistent delays continue.

On the positive side, strong pipelines of approved projects underpin our expectation that the EU's RRF will boost Spanish and Portugal's growth from this year, especially through higher investment. Around €47bn has been invested in Spain so far (3% of GDP) out of a total of €163bn. But the speed of implementation has been picking up in the past two years. And with an additional €30bn in funds already assigned to projects but not yet implemented, we expect the RRF will also provide a meaningful boost to growth this year and next. The pipeline is also strong for Portugal as approved projects are worth nearly €14bn, excluding payments already made. This is nearly 5% of 2024 nominal GDP.

Chart 5: There's a solid pipeline of approved projects, but RRF execution has lagged so far



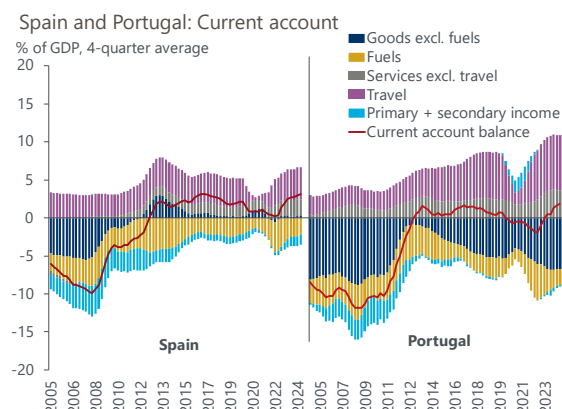
Source: Oxford Economics/Haver Analytics

On the downside, we expect growth in government consumption will normalise in Spain following annual gains of 5% in both 2023 and 2024. We also anticipate smaller contributions to GDP growth from tourism, though both economies will still benefit from continued strong tourism activity. And with modest global growth constraining prospects for other exports, we think net exports will be a drag on both Spain and Portugal's GDP. Consumer spending and investment are therefore likely to remain the major growth drivers in Portugal, and we think Spanish growth will become more domestically focused as well.

Macro-financial vulnerabilities have decreased

Beyond the favourable cyclical expansion, Spain and Portugal's economies have also reduced some long-standing, macro-financial vulnerabilities over the last decade. The large current account deficits that were typical in the 2000s have turned into surpluses. Booming tourism exports were a key driver, but other exports also showed remarkable dynamism through this period, including some higher value-added services such as information and technology, and technical activities (**Chart 6**). Recent current account surpluses cut both countries' net external debts to near 50% of GDP in Q3 2024, roughly half the size of a decade ago. Private debt has also been falling steadily amid household and corporate deleveraging.

Chart 6: Spain and Portugal's current accounts were in surplus for most of last decade



Source: Oxford Economics/Haver Analytics

Portugal has also turned around its fiscal performance. We expect a third consecutive budget surplus this year, an impressive achievement considering Portugal's very poor track record over the last five decades. The fiscal deficit was close to 5% of GDP on average in 2000-2006, rising further during the global financial and eurozone debt crises. As a result, the spread between Portugal's 10-year bond yield and the German bund has narrowed to less than 50bps, leaving Portugal trading closer to core rather than southern eurozone economies.

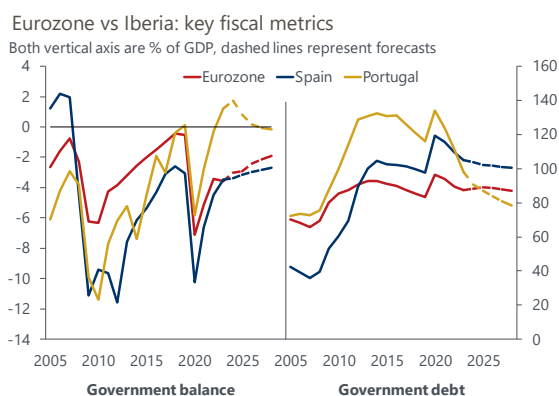
Spain's progress in this area isn't as impressive, as we anticipate a 3% of GDP deficit this year, broadly unchanged from 2024 (**Chart 7**). However, this is near the eurozone average and much lower than France's deficit, which remains

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the focus of investors' concerns despite being rated much higher by rating agencies.

Government debt-to-GDP ratios reinforce Portugal's strong fiscal performance. Public debt is expected to near 90% of GDP this year and fall below the eurozone average for the first time in two decades. Spain's public debt is expected to remain slightly above 100%, but we think it will continue to gradually and steadily decline and will remain below Greece, Italy, France, and Belgium's public debt levels.

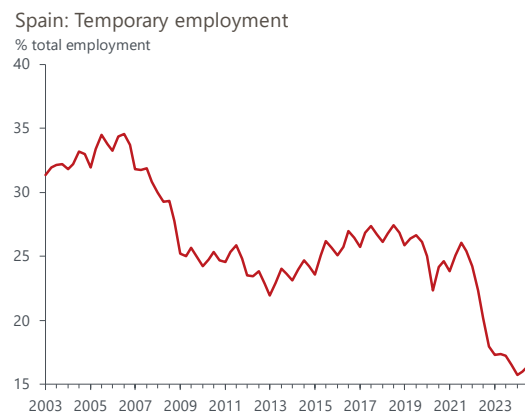
Chart 7: Portugal's budget surpluses stand out



Source: Oxford Economics/Haver Analytics

Finally, recent successes regarding economic growth, external accounts, and domestic debt went hand in hand with marked improvements in the labour markets of both countries. At 6.5% in Q4 2024, Portugal's unemployment rate is near the eurozone average of 6.3%. Spain's fell to 10.6% after peaking at 26.3% in 2013. Spanish employment growth averaged 3% per year in the last four years, accounting for nearly a quarter of all jobs created in the eurozone over that period despite representing only 10% of the eurozone's economy. Furthermore, the quality of employment has also improved, with a labour reform in 2022 nearly halving the share of temporary contracts (**Chart 8**).

Chart 8: Employment is rising strongly in Spain and its quality is also improving



Source: Oxford Economics/Haver Analytics

Long-term factors have improved, but some weaknesses persist

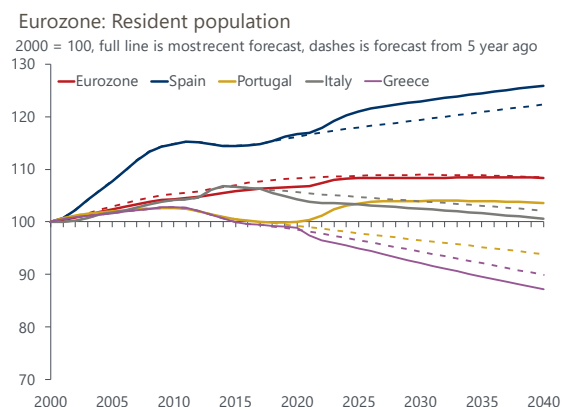
Spain and Portugal's growth stories are not unique. For example, Greece and some other small southern eurozone economies also performed solidly in recent years, and we are also optimistic about their near-term outlooks.

However, a key difference relates to long-term growth. We recently upgraded our forecasts for Spain and Portugal's long-term GDP and we now expect both will grow in line with the eurozone average over the coming decades. We remain more pessimistic about Greece and particularly Italy, where we expect very weak growth over the same period.

Demographics, along with human and physical capital, and productivity drive our long-term forecasts. Demographics largely explain why we are more optimistic about Spain and Portugal than Italy and Greece (**Chart 9**). The two Iberian countries are going through a wave of strong net migration, which we think will continue in the coming years despite some gradual moderation. The natural pool of migrants from former colonies is a key factor, along with the countries' policies to attract digital nomads and other high value-added workers.

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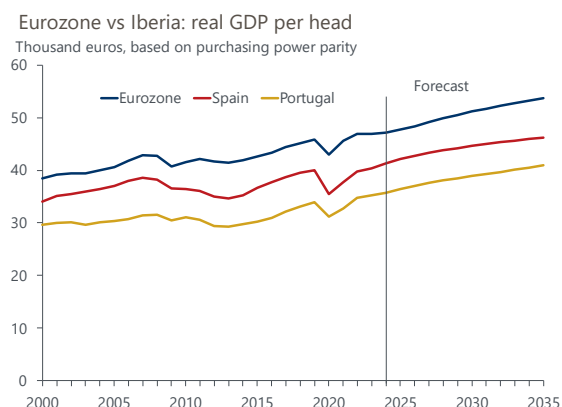
Chart 9: A wave of net migration improved Spain and Portugal's demographics



Source: Oxford Economics/Haver Analytics

While recent improvements in demographics reduced an important headwind, some key weaknesses persist. These weaknesses explain why we still expect little further convergence towards eurozone income levels for Spain and Portugal (**Chart 10**). Both Iberian countries have also made progress in terms of easing their qualifications' gap, and the flight of well-educated workers has cooled in recent years, which had led to a large "brain drain" during the 2010s. However, it will take decades until their skills gaps disappear completely as low-educated workers drop off from the workforce only slowly.

Chart 10: Lingering weaknesses constrain potential for further income convergence



Source: Oxford Economics/Haver Analytics

Moreover, while both economies have become much more open to international trade over the last decade, there is still a large prevalence of low value-added jobs. Together with a large share of micro and small enterprises, this means both Spain and Portugal will continue to suffer from low productivity. Both countries also stand out

for their relatively low share of investment in GDP, signalling capital growth will remain slow.

Higher inward foreign investment could help fix some of these weaknesses. But we think foreign investment is more likely to continue to pick up only gradually, rather than surge in the coming years. High taxation, policy uncertainty, regulatory risk, and weak efficiency of the judicial system are common issues weighing on Spain and Portugal's attractiveness to foreign investment. Surging house and rental prices are another undesirable development as these could feed into workers' wage demands and damage competitiveness if they rise well above productivity.